

**Scrolling Into Debt: How Social Media Influences
the Spending Habits of Young People**

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Proposal

Topic: How Social Media Influences the Spending Habits of Young People

Introduction/Background

Young people spend hours daily on Instagram and TikTok surrounded by ads that do not look like ads. That exposure has real financial consequences for people on tight budgets.

Statement of the Problem

Most young people lack the knowledge to see how aggressively they are being marketed to. The result is impulse buying and debt. This project looks at how and what has helped.

Research Questions

1. How does social media influence spending decisions in young people?
2. What financial habits develop from regular social media use?
3. What has helped young people make smarter choices despite social media pressure?

Preliminary Literature Review

Croes and Bartels (2021) and Phua et al. (2017) show social media drives spending through identification and comparison. Faverio and Anderson (2022) confirm four in ten users say influencers affect purchases. Lusardi and Mitchell (2014) and Lusardi et al. (2010) show low financial literacy leads to more debt. This project connects those two areas.

Design and Methodology

This project uses peer-reviewed articles and credible reports through a literature review.

Annotated Bibliography

Croes, E., & Bartels, J. (2021). Young adults' motivations for following social influencers and their relationship to identification and buying behavior. *Computers in Human Behavior*, 124, Article 106910. <https://doi.org/10.1016/j.chb.2021.106910>

Croes and Bartels found social identification with influencers is the main driver of buying. Peer-reviewed in *Computers in Human Behavior*, indexed on Google Scholar. Answers the first research question and provides the behavioral foundation the other sources build on.

Phua, J., Jin, S. V., & Kim, J. (2017). Gratifications of using Facebook, Twitter, Instagram, or Snapchat to follow brands: The moderating effect of social comparison, trust, tie strength, and network homophily on brand identification, brand engagement, brand commitment, and membership intention. *Telematics and Informatics*, 34(1), 412-424. <https://doi.org/10.1016/j.tele.2016.06.004>

Phua, Jin, and Kim found social comparison strongly predicts purchase intention across four platforms. Peer-reviewed in *Telematics and Informatics*, indexed on Google Scholar. Pairs with Croes and Bartels to cover both psychological paths that lead young people to spend.

Lusardi, A., & Mitchell, O. S. (2014). The economic importance of financial literacy: Theory and evidence. *Journal of Economic Literature*, 52(1), 5-44. <https://doi.org/10.1257/jel.52.1.5>

Lusardi and Mitchell found lower financial literacy leads to more debt and worse decisions, and reviewed what education works. *Journal of Economic Literature*, indexed on Google Scholar. Answers the third research question.

Lusardi, A., Mitchell, O. S., & Curto, V. (2010). Financial literacy among the young. *Journal of Consumer Affairs*, 44(2), 358-380. <https://doi.org/10.1111/j.1745-6606.2010.01173.x>

Lusardi, Mitchell, and Curto found fewer than one third of young adults understand basic financial concepts, with the gap tied to family background. *Journal of Consumer Affairs*, indexed on Google Scholar. Shows the literacy gap starts early, right when social media exposure is highest.

Faverio, M., & Anderson, M. (2022, November 21). *For shopping, phones are common and influencers have become a factor, especially for young adults*. Pew Research Center. <https://www.pewresearch.org/short-reads/2022/11/21/for-shopping-phones-are-common-and-influencers-have-become-a-factor-especially-for-young-adults/>

Faverio and Anderson found four in ten social media users say influencers affect purchases, higher among younger adults. Pew Research Center is a credible nonpartisan institution. Gives real survey numbers to what the academic sources describe.

Consumer Financial Protection Bureau. (2016). Building blocks to help youth achieve financial capability: A new model and recommendations. U.S. Government.

<https://www.consumerfinance.gov/data-research/research-reports/building-blocks-help-youth-achieve-financial-capability/>

The CFPB identifies three building blocks for youth financial capability and finds education works best at real financial moments. Federal regulatory agency with direct authority over consumer finance. Extends the Lusardi sources by showing what programs deliver results.

References

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